Revised 2026-10-06 (commission-only SSLC strategy): The prior SSLC use-of-funds line is removed; this version reframes the tank capability as SSLC-produced, Exos-integrated. Scorpius Space Launch Company (SSLC) is Exos's Type-V tank supply partner and sales channel: Exos earns a 15% commission on SSLC tank hardware it sells (customers pay SSLC's own price — no markup), the same 15% applies to SSLC tanks Exos buys (an effective rebate), and Exos holds 18% passive equity. Use of funds per the commission-only model (management-prepared): $10M first close — RDRE/TACFI match $4.1M · BLK3 build/to flight $3.4M · BLK4/HVRR long-lead $1.0M · Working capital/Part 450/contingency $1.5M; $25M cumulative — RDRE $8.0M · BLK3 $3.4M · BLK4 $9.0M · WC/Part450/contingency $4.6M.

Exos Aerospace — Defense Industrial Base Funding Strategy

A layered, low-dilution capital stack across four sources — DPA Title III · DoD Office of Strategic Capital · Texas SEARF · Ainigma (RTO/FNEX) — with the Exos Integrated Consortium as the teaming stack, anchored to the Navy's defense-industrial-base build-out. | Proprietary / Unclassified | August 23, 2026

1. The play

The DoD and Navy are pouring money into **expanding the domestic defense industrial base** — and three of our four target sources exist specifically to fund industrial-capacity build-out, not R&D papers. That is the lane we fit. Exos, one of only three FAA-licensed reusable rocket launch providers in the US, plus Type-5 composite cryogenic tanks from partner Scorpius Space Launch Company (SSLC) — TRL 9, flew as fuel/LOX tanks on Intuitive Machines' Odysseus and Athena — which Exos integrates and sells as SSLC's channel, plus the **Exos Integrated Consortium** (prime-integrator bench: Scorpius, MATECH, Super Carbon, Hybron, CDT, Starfighters, Atomus, Albers, Southwest Composite Works — all US/ITAR, 2-deep backups), is a **domestic, reusable flight-test and responsive-space industrial capability** the government can fund into existence.

The move is to **stack the four sources so each layer de-risks the next and minimizes equity dilution**: put a non-dilutive federal grant and low-cost federal debt underneath the private raise, use Texas money as the match that unlocks the federal money, and let a Navy demand signal anchor the whole case.

2. The capital stack — how the four fit together

Layer	Source	Instrument	Size (typical)	What it funds at Exos	Dilution
GRANT	**DPA Title III** OUSD(A&S) Industrial Base Policy	Grant / purchase commitment / OTA	~$5M avg; up to ~$200M	Stand up domestic production capacity — Type-5 cryo-tank line and/or reusable-vehicle & propulsion industrial base	None
DEBT	**Office of Strategic Capital (OSC)**	Direct loan / loan guarantee	$10M–$150M	Capex: facility, tooling, equipment to scale from prototype to production	None (debt)
MATCH	**Texas Space Commission — SEARF**	State grant / matching funds	Program-dependent	The state match that unlocks and leverages the federal awards (incl. TACFI/SBIR match)	None
EQUITY	**Ainigma** (reverse-takeover to public via FNEX) + Series A	Equity / strategic capital	Series A up to $25M	Public listing + acquisition currency, RDRE/TACFI match, BLK3 to flight, working capital, team, contingency — the equity base the debt sits on	Yes

PARTNER	**Starfighters Space** (NYSE American: FJET)	Teaming / consortium	—	Air-launch + hypersonic flight-test capability that widens the DIB offering; strengthens every federal application	—

Principle: exhaust non-dilutive and low-cost federal capital first (Title III grant + OSC debt + SEARF match), then price the equity round off a de-risked, government-backed balance sheet. Same logic as the Series A structuring — layer SBIR/TACFI/Phase III on top.

3. Source-by-source playbook

① DPA TITLE III — non-dilutive industrial-base grant

- **What it is:** DoD's authority (50 USC 4501–4568) to create/expand/protect domestic sources for critical components and technology. FY25 ran ~28 grants ($125K–$203M, ~$5.2M avg); the FY27 request scales this account toward ~$30B. Actively funding the **composites, solid-rocket-motor, and hypersonics industrial base** right now.
- **Exos fit:** Strongest anchor is **domestic Type-5 linerless composite cryogenic tank capacity with partner SSLC as the tank producer and Exos as prime/integrator and sales channel** — composites (incl. ultra-high-temp) is an active Title III sector, and in-space cryo storage/refueling is a national priority. Secondary anchors: reusable suborbital flight-test infrastructure and propulsion (RDRE) hosting/flight-test as a domestic capability.
- **The ask:** A project award to expand domestic Type-5 cryo-tank capacity (SSLC as producer; Exos as prime/integrator) and/or reusable flight-test capacity — framed as closing an industrial-base gap.
- **Door:** businessdefense.gov (Industrial Base Analysis & Sustainment / IBAS + DPA Title III office); watch for project-specific NOFOs/BAAs. Requires a Presidential determination for the capability area — the Navy demand signal (§4) helps make that case.
- **Gotcha:** Title III funds a capability the government has said it needs — lead with the requirement, not the technology.

② OFFICE OF STRATEGIC CAPITAL (OSC) — low-cost federal debt

- **What it is:** DoD office (statutory via FY24 NDAA) issuing **direct loans and loan guarantees of $10M–$150M** across 30+ covered technology categories that explicitly include **space launch, spacecraft, and advanced materials**. Purpose: crowd in private capital and bridge the "valley of death" from lab to full-scale production. FY27 request scales the program toward ~$20–30B.
- **Exos fit:** Finance the **capex** to industrialize — facility, tooling, and equipment for IPS/tank integration, RDRE production/test build-out, or BLK4 production — as low-cost debt instead of dilutive equity.
- **The ask:** A direct loan sized to the production-line capex, repaid from flight-services / tank / contract revenue.
- **Door:** cto.mil/osc — OSC credit program (Equipment Finance / capital loan program). Also the **SBIC-CT initiative** (licensed private funds that co-invest alongside OSC) — a route where Ainigma or a partner fund could pair with federal capital.
- **Underwriting reality (not an early-stage problem):** OSC underwrites like a lender — the test is **repayment capacity / debt-service coverage on the specific capex loan**, not company age. Exos meets this from strength: an **11-year-old, revenue-generating prime**, one of only three

FAA-licensed reusable rocket providers in the US, with access to partner SSLC's Type-5 composite cryogenic tanks flown to the Moon (Intuitive Machines IM-1/IM-2) through its 18% equity stake and SSLC sales-channel role. The work is simply demonstrating that the production-line capex is covered by revenue + contract backlog and sizing the loan to that coverage — present as an established operator, never as a startup.

③ TEXAS SPACE COMMISSION — SEARF (the match that unlocks the rest)

- **What it is:** Texas Space Exploration & Aeronautics Research Fund — state grants, including a pathway that funds the **matching-fund requirement** when a company otherwise lacks the capital to capture a federal award.
- **Exos fit:** The state dollars that satisfy match requirements (TACFI 1:1, SBIR, and cost-share on Title III/OSC), keeping cash and equity intact.
- **The ask:** SEARF award positioned as the match that leverages multiples of federal money into Texas.
- **Door:** Warm path via Norman Garza (Exec Dir); congressional letters of support already in motion. Tie the request to jobs/industrial base in Texas (Greenville final assembly & test).
- **Gotcha:** Keep the ask framed as leverage/match, not standalone R&D.

④ AINIGMA — the go-public / strategic-capital leg

- **What it is:** Ainigma is the **reverse-takeover (RTO) path to a public listing** via **FNEX** (a registered FINRA broker-dealer; DD cleared, onsite 8/20). Exos holds ~95% at close, giving Exos continuous public-market access and **stock as acquisition currency** on top of the cash raise.
- **Role in the stack:** anchors the equity base the OSC debt sits on, can co-invest alongside OSC/SBIC-CT to amplify federal leverage, and supplies the acquisition currency to roll up bench partners (e.g. Southwest Composite Works, CDT) into the domestic industrial capability the DIB case describes.
- **Status:** DD cleared; RTO/PIPE sequencing underway alongside MDB Capital (Nasdaq IB) and the Reg D 504 bridge.

★ THE EXOS INTEGRATED CONSORTIUM (EIC) — the DIB capability, as a team

- **The model:** Exos is the **prime integrator** holding the contract, integration, flight vehicle, and the single-point-of-failure contingency bench. Each partner **FFP-quotes its own scope**; Exos owns the compliance boundary (ITAR/CUI/CMMC via Atomus). This turns a set of individual companies into one fundable, resilient **domestic industrial capability** — which is precisely what Title III and OSC are built to stand up.
- **Why it strengthens every federal application:** a US/ITAR-clean bench with **2-deep backups on every critical part** (CMC → Ultramet; carbon-carbon → C-CAT; composites → Rock West) directly answers the government's core DIB worry — fragile, single-source, or foreign-exposed supply chains.
- **Starfighters Space** (NYSE American: FJET) sits in this bench as the air-launch / hypersonic flight-test leg (seven F-104s at NASA KSC; STARLAUNCH), widening the combined flight-test & responsive-space offering.

EIC partner bench (live from Mission Control consortium data, 2026-08-13)

Partner	Role	Capability it brings to the DIB offering	Status
Scorpius Space Launch Co.	Tank supply & sales-channel partner (Exos 18% passive equity)	Type-5 composite cryogenic tanks (TRL9, lunar heritage); Exos sells SSLC tanks at SSLC's price for a 15% commission	Partner — Sales Commission Agreement in drafting
MATECH GSM / Dr. Ed Pope	Partner (materials)	Ceramic matrix composites (SiC/SiC, C/SiC); FAST densification; AFRL RDE-tested	MNDA sent 8/13
Super Carbon Composites	Partner (materials, MATECH affiliate)	Ultra-high-density carbon-carbon (>2.20 g/cc), FAST/SPS	MNDA sent 8/13 (affiliate)
Hybron (ex-BladeX)	Prospect (materials/mfg)	Ultra-fast composite (carbon-fiber) manufacturing; turbomachinery blades, structures	Prospect
CDT (Composite Technology Development)	Partner / acquisition target	Composites manufacturing; RT-cure resin (used in SSLC Type-5 tanks)	Acquisition target
Starfighters	Partner (flight test)	F-104 flight test; consortium of underutilized aerospace companies	Consortium play
Atomus	Partner (compliance)	CMMC 2.0, GCC High / Azure Gov, CUI/ITAR boundary	Contracted
CertBuddyAI	Partner (regulatory)	AI-assisted FAA Part 450/420 licensing prep	LOI executed
Albers Aerospace	Partner (hub)	North-Texas aerospace hub (McKinney)	Developing
Southwest Composite Works	Composite structures / fabrication — ACQUISITION TARGET	Composite fabrication & tooling — hand layup, bonded structures, skins/brackets; airframe & secondary composite structures; fabrication second-source	Acquisition target — Jon in discussion with John Groth (founder); deep-DD cleared (SAM-active, CAGE 7ATR9, ITAR); verify AS9100

Flagship pursuit — Reusable RDRE flight demonstration (*customer: USAF / NASA (Hermes Phase II→III; Series A RDRE); prime: Exos; status: KICKED OFF 8/13 — RFQs staged*). Every critical scope carries a US/ITAR-clean backup so no single vendor is a single point of failure — exactly the supply-chain resilience the DIB build-out is chartered to fund:

Scope owner	Scope (FFP)	2-deep backup (US/ITAR)
Exos	Integrator + PSRLV + flight ops	self
Scorpius	Type-5 tanks (supply partner — FFP quote at SSLC price; 15% commission/rebate applies)	alternate tank source only for delivery risk
MATECH	CMC chamber / nozzle	Ultramet (Pacoima CA, DDTC/ITAR, hot-fire CMC) — 2-deep; also COI Ceramics (NGC)
Super Carbon	Carbon-carbon throat	C-CAT (Arlington TX, TRL8-9, MDA/NASA) — 2-deep; also Ultramet
Hybron	Fast composite structures	Rock West Composites (ITAR/EAR, DCAA) — 2-deep; also CDT

GTL / NASA MSFC	RDRE core (trade-study down-select)	the other path

4. The Navy DIB demand signal — the anchor

Title III and OSC fund capabilities the government has said it **needs**. The Navy's interest in building out the defense industrial base is the demand-pull that converts our applications from "nice technology" to "funded requirement." The move:

- Convert the Navy interest into a written **statement of need / demand letter** (or requirement reference) for domestic reusable flight-test + responsive-space + cryogenic-tank capacity.
- Attach that demand signal to the Title III project pitch and the OSC loan case as the "why now / who buys."
- Use it to support the Presidential-determination case for the Title III capability area.

5. Sequencing — next 90 days

1. **Lock the anchor capability** (week 1): choose the lead industrial-base story — recommend Type-5 cryo-tank integration with partner SSLC + reusable flight-test — that Title III and OSC both underwrite.
2. **Capture the Navy demand signal** (weeks 1–3): get the statement of need in writing; identify the Navy commission POC (confirm contact).
3. **Starfighters teaming MOU** (weeks 2–4): scope the joint DIB capability, Exos as prime.
4. **SEARF match request** (weeks 2–5): file via Garza, framed as the match that leverages federal capital into Texas.
5. **OSC pre-application** (weeks 3–6): engage OSC credit program with the production-capex case + revenue/backlog; explore SBIC-CT co-invest with Ainigma/partner fund.
6. **DPA Title III engagement** (weeks 4–8): approach Industrial Base Policy with the gap/requirement framing + Navy demand letter; track NOFOs.
7. **Sequence the equity** (parallel): price the Series A / Ainigma leg off the de-risked, government-backed stack.

6. Risks & guardrails

- **OSC underwriting:** lead with Exos's 11-year operating history, revenue, flight heritage, and contract backlog to show debt-service coverage on the capex loan; size the loan to that coverage. This is a financial-structuring point, not a maturity question.
- **Title III needs a determination:** the area must be authorized — the Navy demand signal is how we support that.
- **Accuracy discipline:** RDRE is hosted / flight-tested, not Exos-developed (hardware path is a trade-study down-select, GTL vs NASA MSFC license); BLK3 is FAA-licensed (Mar 2026) but has not flown commercially; Exos has flown since 2018. Keep all gov-facing claims to this standard.
- **Export/ITAR:** controlled technical data stays out of any foreign-touch path; screen before release.

7. Open items to confirm

- **Navy commission POC** — the specific contact/office so we can pull the demand letter.

- **Anchor capability** — confirm the lead industrial-base story (cryo tank vs reusable flight-test vs propulsion) so Title III/OSC pitches lead with one spine.

Exos Aerospace Systems & Technologies, Inc. — Proprietary / Unclassified. Prepared for internal capital strategy. Figures reflect public program data as of Aug 2026 and are directional; confirm current NOFO terms before filing. Not investment advice.